LOOKING BACK

I was exceptionally fortunate to participate in the credit markets over the last 45 years and to have benefited, first from the emergence of markets most others failed to capitalize on, and second from the popularization of these markets after I found them and staked my position. The result has been steady employment and untold intellectual satisfaction.

In dealing with these emergent markets, with their appearance of riskiness, my Oaktree partners and I chose to build a firm that would emphasize risk control, consistency, long-term investment, and limits on the amount of capital we would manage. We also insisted on creating a culture that would emphasize these things. In sum, we tried to offer a "low-risk option," giving clients a way to participate with less-than-full risk. Our motto at Oaktree's founding was "if we avoid the losers, the winners will take care of themselves," and that remains our lodestar, putting a high priority on risk consciousness even now that we've added a number of "aspirational" strategies that demand that winners be found.

We've made only modest claims regarding what our results would be in good times. After all, everyone makes a lot of money in good times, and I've never understood the need for outperformance in good times (given that pursuing it usually requires an investor to carry above-average risk). Instead, we've emphasized outperformance in bad times: it's really then that outperformance is essential. It's also in bad times—usually marked by large number of defaults—that selectivity and highly proficient credit research can best add value through the avoidance of holdings that are negatively affected.

Another way in which I've been fortunate was to have been an investor in credit over the course of the 40-year, 2,000-basis-point decline of interest rates and the resulting bull market in credit assets. I